

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (31 marks – approximately 56 minutes)

The following balances relate to Pearl Limited as at 30 June 2019:

	HK\$	HK\$
Sales		4,756,000
Purchases	1,860,000	
Carriage inwards	130,000	
Carriage outwards	142,000	
Salaries	562,000	
Rent and rates	348,200	
Sundry expenses	100,600	
Bank loan interest	90,000	
Utilities	426,200	
Freehold land	6,000,000	
Furniture and fittings	2,400,000	
Equipment	980,000	
Accumulated depreciation, at 1 July 2018		
- Furniture and fittings		650,000
- Equipment		320,000
Inventory, at 1 July 2018	190,000	
Trade receivables	248,000	
Cash at bank	210,300	
Trade payables		347,000
Allowance for impairment loss on trade receivables		15,000
4% Bank loan		3,000,000
Ordinary share capital		3,000,000
Revaluation reserve		1,000,000
Retained earnings, at 1 July 2018		299,300
General reserves		500,000
Interim dividends (ordinary shares)	200,000	
	<u>13,887,300</u>	<u>13,887,300</u>

Additional information:

- (1) The cost and net realisable value of inventory were HK\$165,000 and HK\$160,000, respectively, as at 30 June 2019.
- (2) The following information is available for tangible non-current assets:
 - The company adopts the revaluation model for freehold land and the cost model for all other tangible non-current assets.
 - Fair value of freehold land is to be revalued at HK\$6,400,000 on 30 June 2019. This has not been recorded in the books of Pearl Limited.
 - Furniture and fittings are depreciated on a straight line basis over their estimated useful economic life of 20 years.
 - The company acquired equipment at HK\$300,000, and consideration was settled by way of ordinary shares of Pearl Limited on 29 June 2019. This transaction was completely omitted in the books of Pearl Limited.
 - Equipment is depreciated using the reducing balance method at 10%.
- (3) Electricity of HK\$23,000 for the month of June 2019 was still not yet paid and recorded on 30 June 2019, while rent of HK\$36,000 for three months ended 30 August 2019 was settled and recorded in rent account on 22 May 2019.
- (4) Pearl Limited performs impairment assessment on trade receivables at the end of each year and the allowance for impairment loss on trade receivables on 30 June 2019 was assessed at HK\$10,000.
- (5) The directors recommended transferring HK\$200,000 to the general reserves on 30 June 2019.
- (6) A bank loan was borrowed on 1 June 2018 and to be repaid in full in 2022. Interest for the three months ended 30 June 2019 has still not yet been paid and recorded.
- (7) Income tax on current year profit was estimated to be HK\$152,000.
- (8) There was no other comprehensive income for the year ended 30 June 2019.

Required:

- (a) **Prepare a statement of profit or loss and other comprehensive income for the year ended 30 June 2019 for Pearl Limited.**
(15 marks)
- (b) **Prepare a statement of financial position as at 30 June 2019 for Pearl Limited.**
(16 marks)

Question 2 (12 marks – approximately 22 minutes)

The accountant of Ocean Limited is now preparing the financial statements for the year ended 30 June 2019 and found that the operating results for the current year were poorer than those of last year. He would like to propose the following accounting treatment to arrive at better results in the financial statements:

- (1) Ocean Limited signed a sales contract with a client for HK\$4,000,000 on 28 June 2019, and 50% of the sales proceeds were received on the same date. Goods will be delivered to the client on 6 July 2019, and the balance of outstanding amount will be settled by the client on or before 31 July 2019. The accountant of Ocean Limited proposed to record half of the sales proceeds received amounting to HK\$2,000,000 as revenue for the year ended 30 June 2019.
- (2) It has been the policy of Ocean Limited to depreciate motor vehicles using the reducing balance method. On 1 July 2018, the company acquired two additional motor vehicles at a cost of HK\$1,600,000. To avoid a large depreciation expense for the year ended 30 June 2019, the accountant of Ocean Limited proposed to change the depreciation method of motor vehicles from the reducing balance method to the straight line method.

Required:

State and explain which of the accounting basis/ concepts/ qualitative characteristics have been violated, and suggest the appropriate accounting treatment for Ocean Limited.

(12 marks)

Question 3 (15 marks – approximately 27 minutes)

A fire destroyed most of the accounting records of Universe Limited on 5 October 2019. To claim compensation from the insurer on the loss of inventory and to identify the outstanding balances with customers and suppliers, the accountant of Universe Limited gathered the following information:

- (1) Balances of inventories and trade receivables as at 30 September 2019 and 5 October 2019:

	<u>30 September 2019</u>	<u>5 October 2019</u>
	HK\$	HK\$
Inventories	321,600	2,500
Trade receivables	181,300	?
Trade payables	124,000	94,000

- (2) Other information during the period from 1 October 2019 to 5 October 2019:

- (i) Credit sales were HK\$360,000, which constituted 60% of the total sales.
- (ii) Goods purchased at HK\$50,000 were returned to credit suppliers.
- (iii) Goods sold at invoiced value of HK\$30,000 were returned by credit customers.
- (iv) Discounts received and discounts allowed were HK\$22,000 and HK\$18,000, respectively.
- (v) Payment to credit suppliers was HK\$160,000.
- (vi) Receipts from credit customers were HK\$220,000.
- (vii) Debts amounted to HK\$3,000 was proved to be bad.
- (viii) Jade Limited has both purchases and sales transactions with Universe Limited. On 3 October 2019, Universe Limited agreed to offset an amount of HK\$8,000 in the trade receivables and trade payables accounts of Jade Limited.
- (ix) Credit purchases represented 80% of the total purchases.

- (3) All goods were sold at a mark-up of 20% on cost.

- (4) The insurer agreed to compensate Universe Limited for 50% of the inventory loss.

Required:

- (a) Determine the amount of credit purchases for the period from 1 October 2019 to 5 October 2019. Show all your workings.

(4 marks)

- (b) Determine the balance of trade receivables as at 5 October 2019. Show all your workings.

(4 marks)

- (c) Calculate the net inventory loss (after compensation from insurer) by the fire. Show all your workings.

(7 marks)

Question 4 (22 marks – approximately 39 minutes)

Kim Limited engages in retail industry specialising in selling sportswear. Kim Limited received a bank statement issued by the World Bank on 5 June 2019 and found that the monthly balance as at 31 May 2019 did not agree with the company's bank account balance on the same date. In the cash book of Kim Limited, the bank account had a credit balance of HK\$250. The accountant of the company found the following reasons for this:

- (1) The accounts clerk deposited cheques amounting to HK\$15,000 into the World Bank through an auto teller machine after banking hours on 31 May 2019. The cheques were not processed by the bank until 3 June 2019.
- (2) On 4 June 2019, the World Bank informed Kim Limited that a cheque received from a customer for HK\$33,000 was returned due to insufficient funds. The company had not yet recorded the return of this cheque in the cash book.
- (3) Cheque no.126877 for HK\$5,200 and no.126878 for HK\$12,300 had not yet been presented to the bank.
- (4) Bank service charges of HK\$240 had not yet been recorded in the cash book.
- (5) A cheque drawn for HK\$4,280 in payment of electricity had been entered in the cash book as HK\$4,820.
- (6) A deposit of HK\$2,000 had been entered in the credit side of the cash book.
- (7) It was found that a cheque drawn by Kan Limited in the amount of HK\$5,000 had been recorded in Kim Limited's bank statement.
- (8) Debit side of the cash book had been undercast by HK\$46,300.

Required:

- (a) **Prepare the bank column in the cash book of Kim Limited for May 2019.**
(8 marks)
- (b) **Prepare a bank reconciliation statement for Kim Limited as at 31 May 2019.**
(8 marks)
- (c) **Illustrate THREE examples of internal control over cash receipts in the retail stores of Kim Limited.**
(6 marks)

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